

OPPORTUNITY REVIEW

DIRECT-TO- EMPLOYER GTM STRATEGY

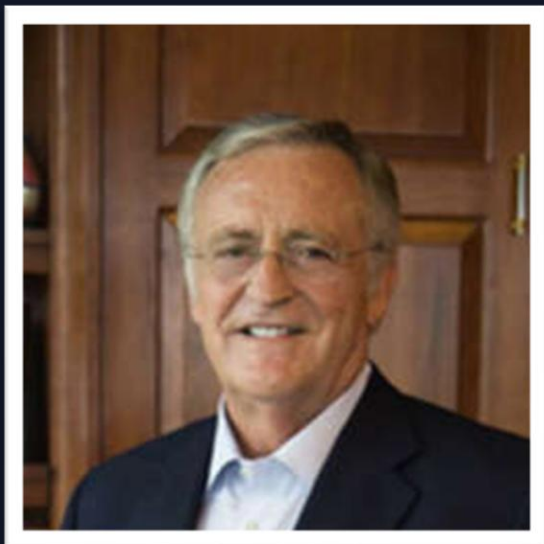
Exploring a Baptist Health DTE Health Plan





KEY BENEFIT ADMINISTRATORS

- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees



Our Founding and Heritage:

46 Years of Striving for Honesty in Healthcare

Founded Key Benefit Administrators in 1979

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA in 1979 as a third-party benefits administrator focused on honest healthcare delivery.

Sold to Blue Cross/Blue Shield in 1985

Strategic partnership with BCBS of Indiana (then part of the Associated Group) provided capital and market access while maintaining operational independence.

Reacquired KBA in 1992

Larry bought the business back from BCBS in 1992, returning it to complete independence and patient-focused mission alignment.

Built the Largest Independent TPA in the U.S.

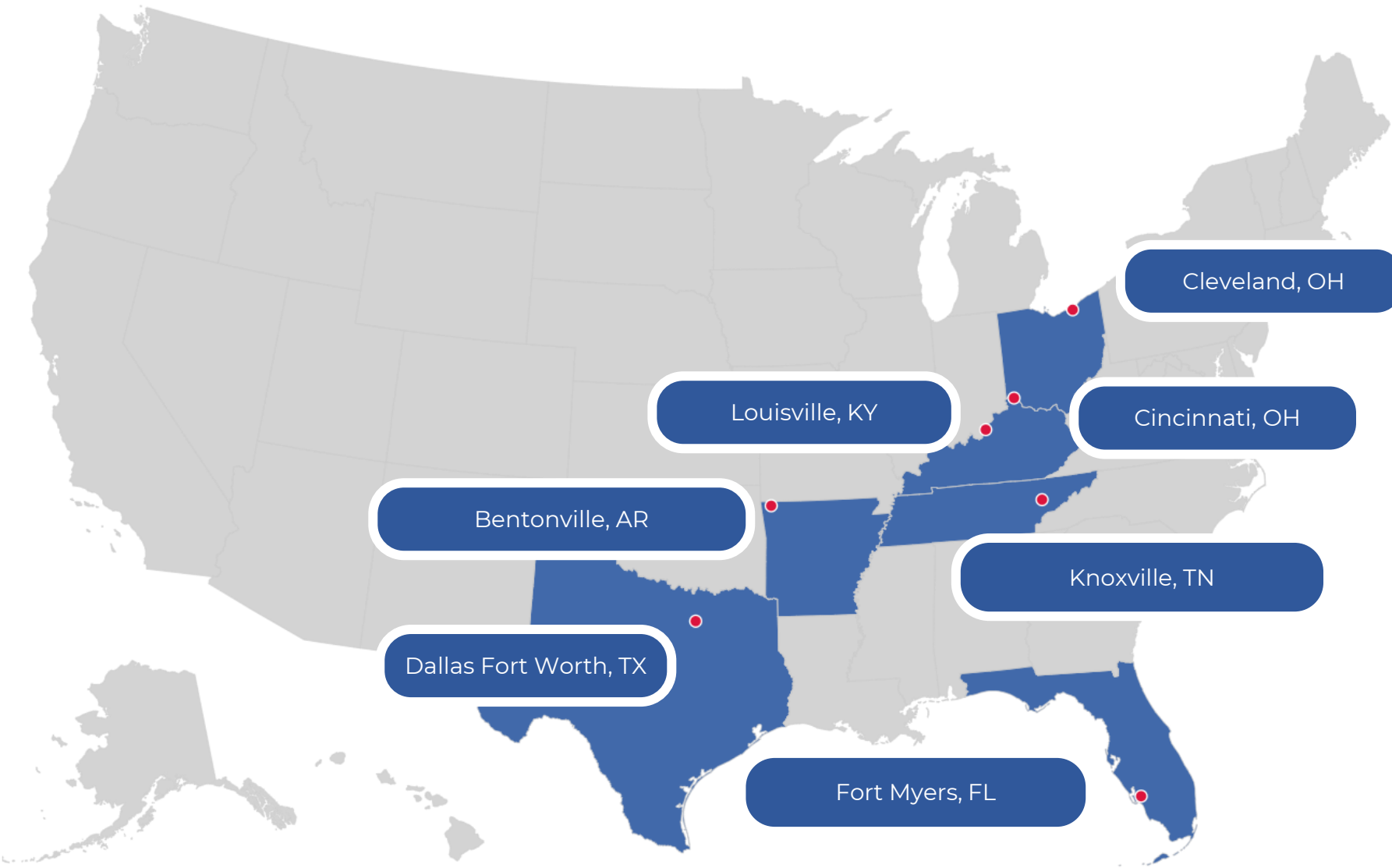
Under his leadership since the buyback, KBA has become the country's largest independently owned third-party administrator, managing millions of members across diverse markets.

Never Forgotten Who Gives Healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

Key Benefit Administrators

MARKET LEADER IN PRIVATE LABELED DTE PLANS



DIRECT-TO-EMPLOYER (DTE)

*Your Health Plan
Focused on a Direct
Relationship with Self-
Funded Employers in
Your Market*



YOU Pick the Name of the Health Plan



YOU Determine the Fees Charged



YOU Practice the Medicine



YOU Receive the Profits



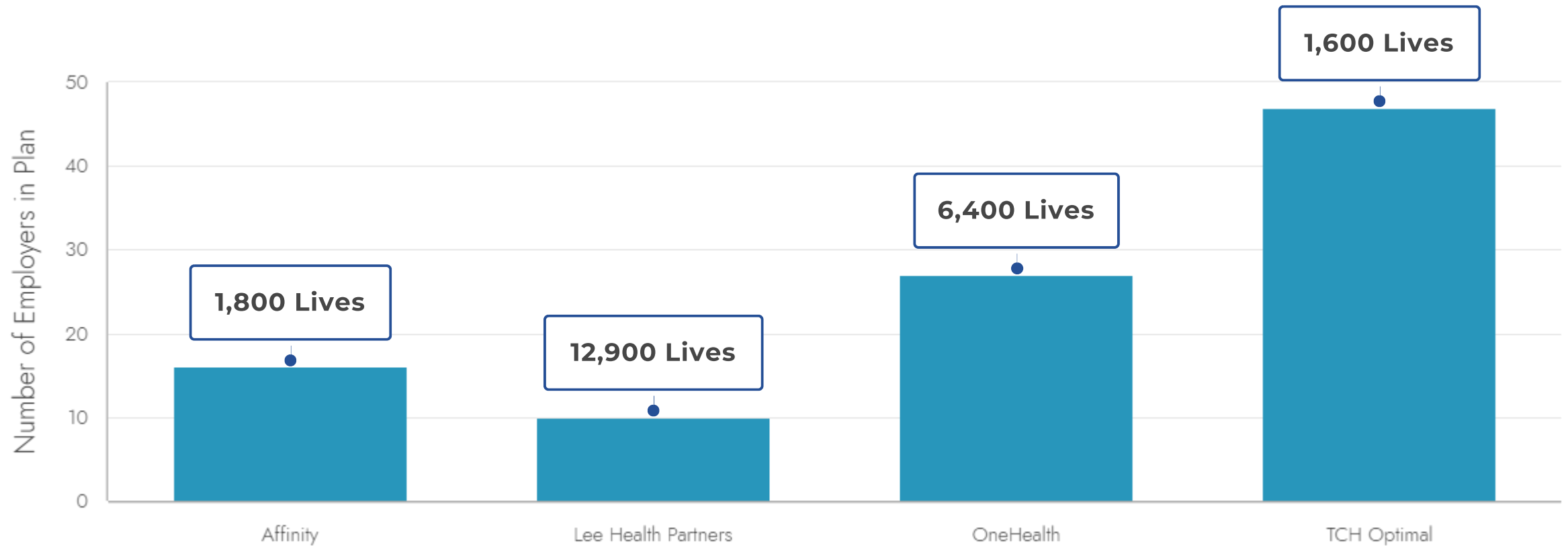
WE Make it Successful



Direct-to-Employer Strategy: **POWERFUL EMPLOYER VALUE**

- Reduced medical spend through lower unit costs and better integrated care
- “At the table” with Baptist Health
- Aligned financial incentives
- Complete transparency for unlimited visibility into health benefit plan expenses and cost drivers
- Aggressive stop-loss premiums and policy terms
- Increased employee satisfaction
- Improved cash flow & stabilization of future medical cost trend

KBA PLAN GROWTH IN THE FIRST TWO YEARS



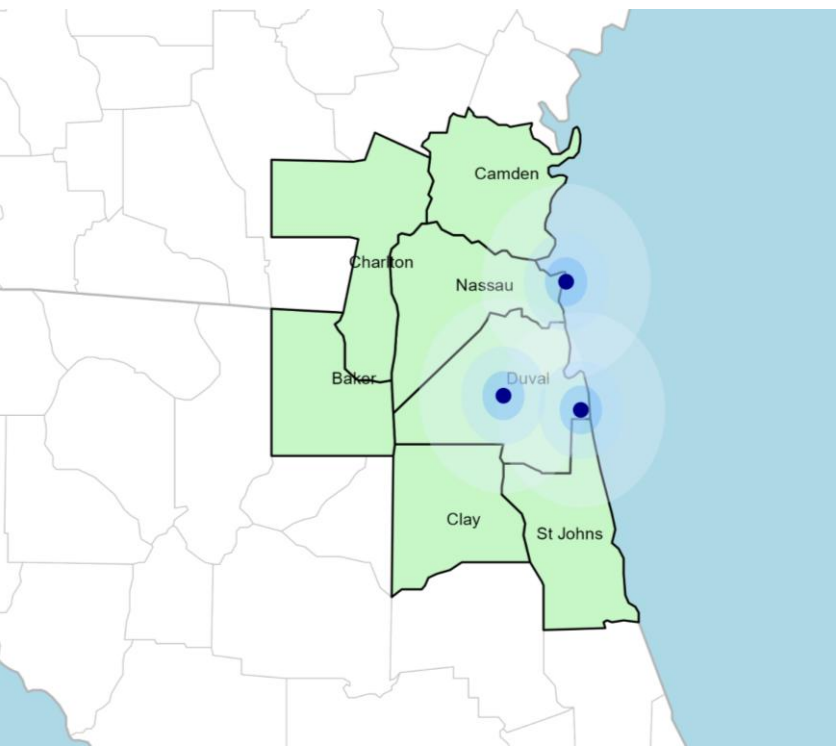
An average of 25 employer groups in plan within the first two years!

SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

Researched for the below highlighted service area

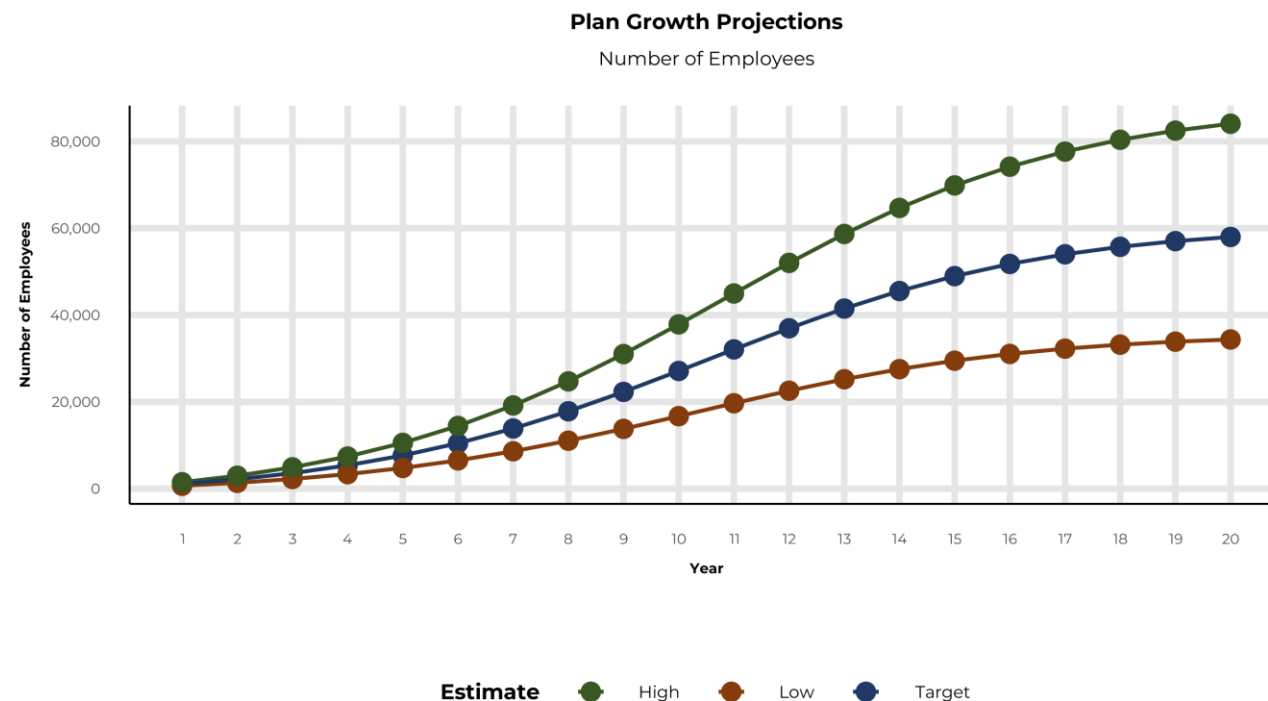
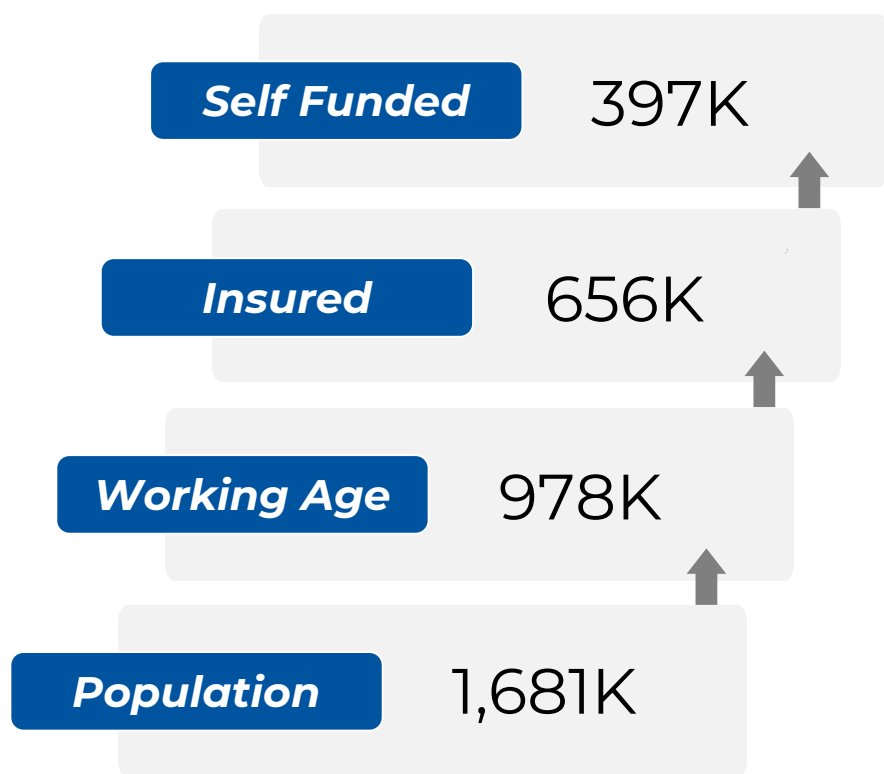
Target Market

1,500+ Employers ➤ 400,000+ Employees ➤ 600,000+ Members



	Employer Size Group (# of Employees)					
	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
Commercial Employers With Headquarters In Catchment Area	911	352	192	141	56	29
Total Employees at Employers Headquartered in Catchment Area	68,325	52,800	57,600	98,700	112,000	319,000
Total Members with Employers Headquartered in Catchment Area	122,985	95,040	103,680	177,660	201,600	574,200

PLAN POTENTIAL GROWTH PATHS



Estimates includes the Baptist Health service area in Baker, Clay, Duval, Nassau, St. Johns, Camden, and Charlton Counties

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue:

\$21.36M

New Profit:

\$5.73M

Growth Stage

Strong Reputation, Strong Growth

New Revenue:

\$129.89M

New Profit:

\$35.81M

Mature Stage

High Profitability, Market Saturation

New Revenue:

\$269.11M

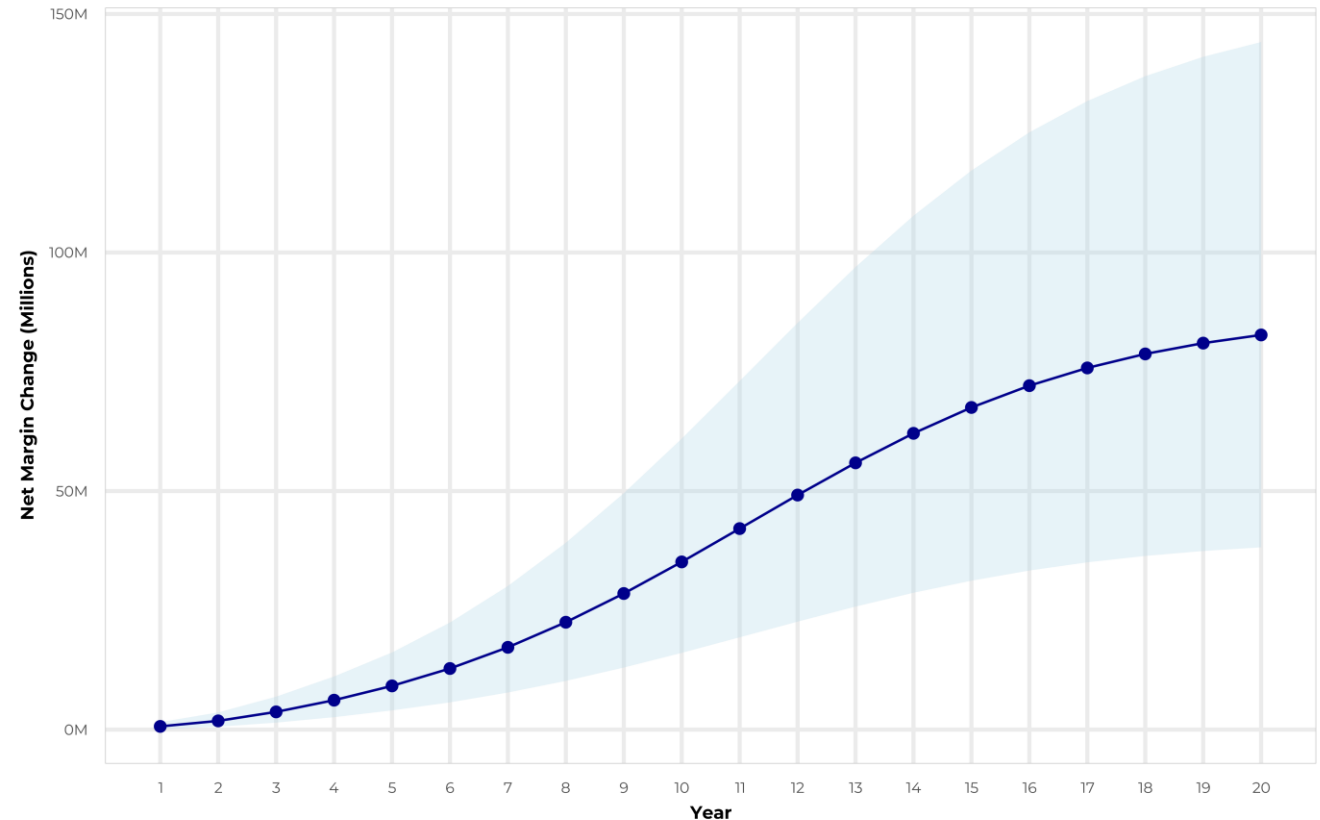
New Profit:

\$74.29M

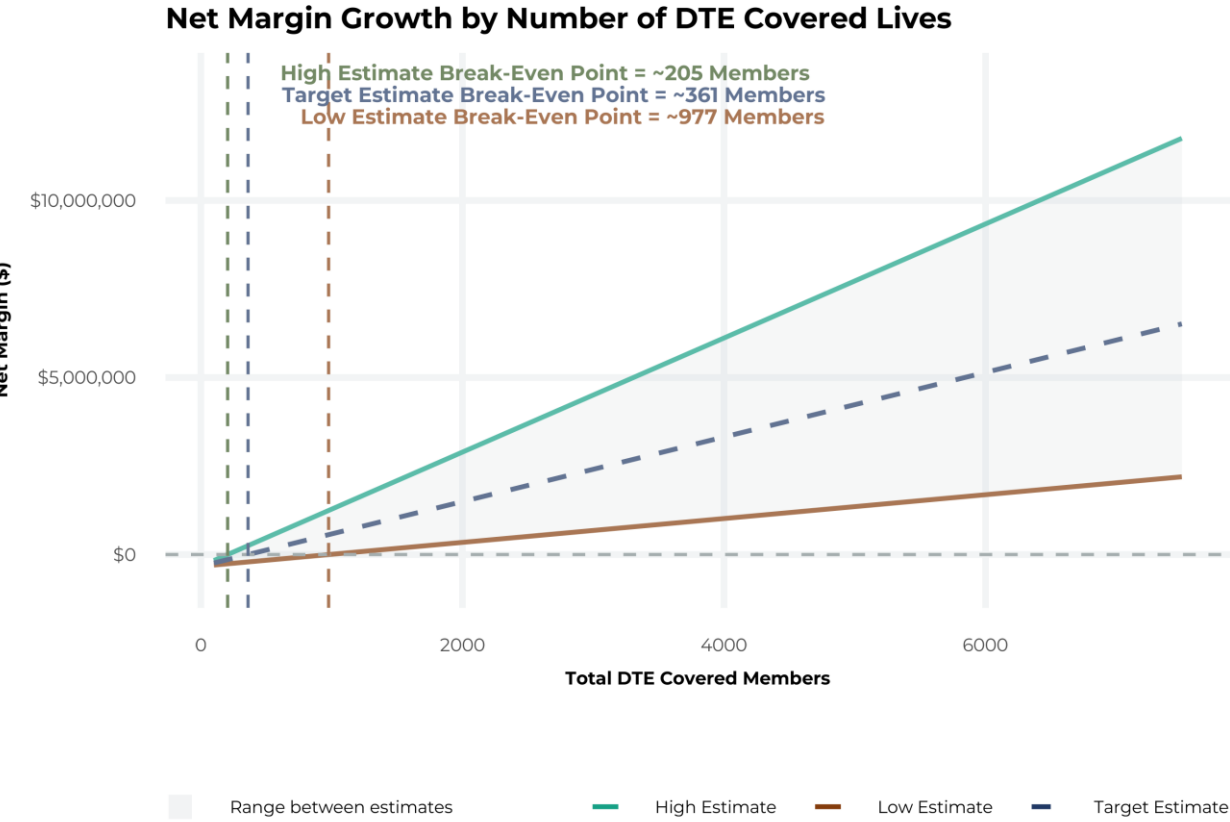
Net Margin Change Over Years

Variation by Member Growth With Target Estimate

of 45%+ Steerage and a Commercial Margin of 22.4%



MODEL ASSUMPTIONS AND BREAK EVEN



Patient Steerage Assumptions

KBA currently estimates that Baptist Health has 30% inpatient market share, and 18% outpatient market compared to hospitals/clinics in the Baptist Health service area (see slide 8). The DTE tiered structure will create immediate steerage, with additional steerage over time from patient bonus benefits and the patient convenience card (see slide 34 for estimates of target steerage).

Low	High
10% below target	10% above target

Commercial Margin Assumptions

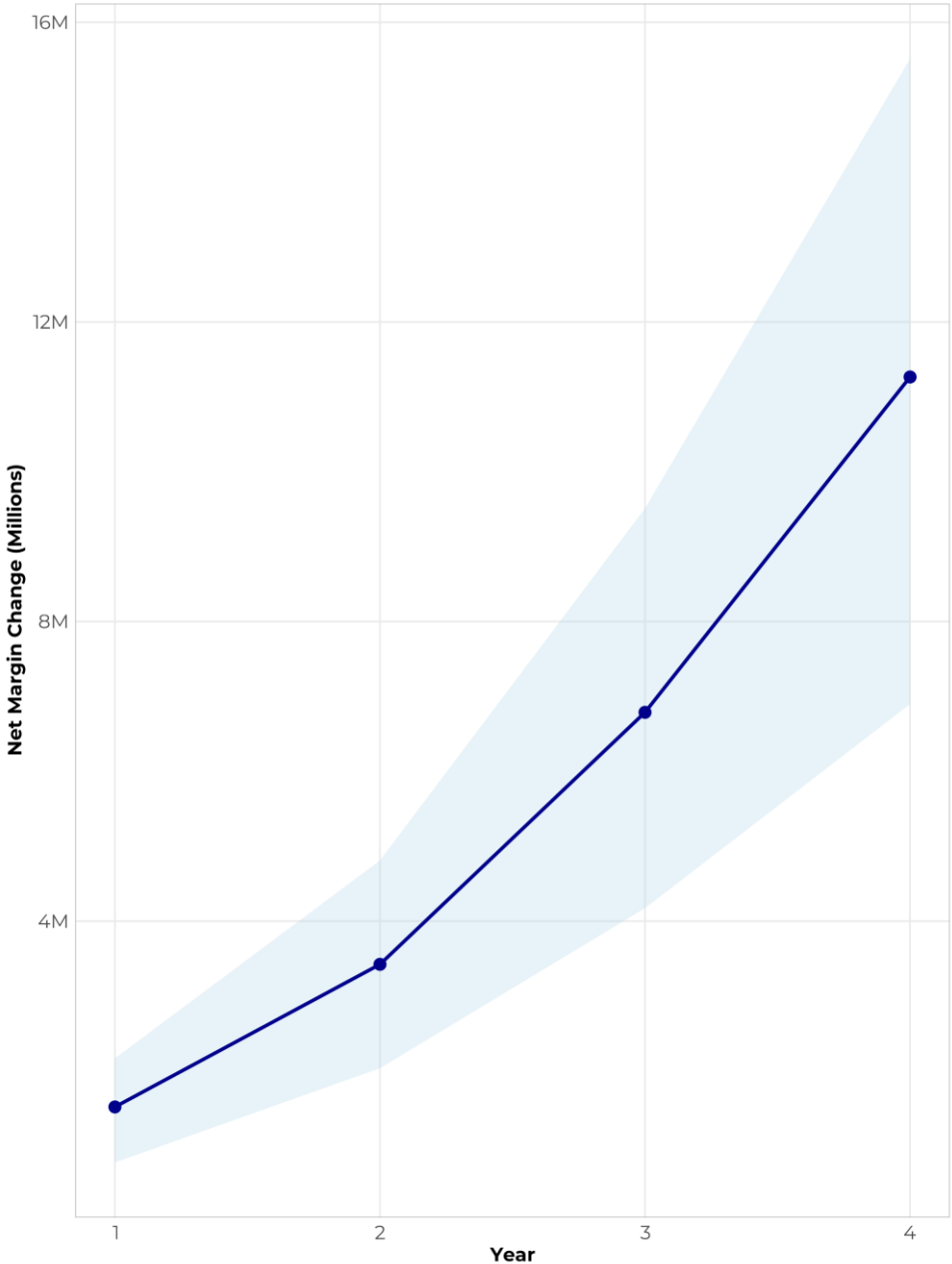
KBA observes a Baptist Health 34% commercial margin. Conservatively, we model the DTE to be even with commercial rates given prices 10% below market, but with a 10 percentage-point increase through friendlier billing practices and improved patient collections with the patient card.

Low	Target	High
22.2%	27.2%	32.2%

FOUR-YEAR PROJECTIONS

Net Margin Change Over Years
Variation by Member Growth With Target Estimate

of 45%+ Steerage and a Commercial Margin of 22.4%



Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	2,000	3,900	6,400	9,700
Incremental Margin	1,825.2K	3,556.3K	6,890.9K	11,328.7K
Network Access Fee	24.0K	46.8K	76.8K	116.4K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	1,519.2K	3,423.1K	6,787.7K	11,265.1K

High Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	2,700	5,400	8,900	13,300
Incremental Margin	2,464.1K	4,924.1K	9,582.7K	15,533.1K
Network Access Fee	32.4K	64.8K	106.8K	159.6K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	2,166.5K	4,808.9K	9,509.5K	15,512.7K

Low Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	1,200	2,400	4,000	6,000
Incremental Margin	1,095.1K	2,188.5K	4,306.8K	7,007.4K
Network Access Fee	14.4K	28.8K	48.0K	72.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	779.5K	2,037.3K	4,174.8K	6,899.4K

DIRECT-TO-EMPLOYER STRATEGY:

ONLY AVAILABLE TO *PREMIER* HEALTH SYSTEMS



STRONG Brand Quality

EXTENSIVE Patient Access

AFFORDABLE Value Pricing

EXCELLENT Care Quality

BAPTIST HEALTH IS PATIENT RECOMMENDED

Health System	HCAHPS Recommendation Percentile	CMS Stars Percentile	Mortality Percentile	Readmission Percentile	KBA Brand Quality Score
Mayo Clinic	98	100	81	63	77
Baptist Health (Jacksonville FL)	76	87	75	70	72
University of Florida Health	37	63	68	72	58
Ascension Health	40	58	80	60	58
HCA Healthcare	16	46	88	63	49

Based on quality measures and HCAHPS feedback, KBA estimates that Baptist Health has one of the strongest brands in Baker, Clay, Duval, Nassau, St. Johns, Camden, and Charlton Counties.

The Key Incentive Plan

Affordability Without Compromise

The **Key Incentive Plan** is a one-of-a-kind solution, empowering employers to take back control of their healthcare programs, that offers freedom of choice when choosing providers in your local community, while incenting members to choose high-quality, cost-effective care.

Basic Medical Benefit

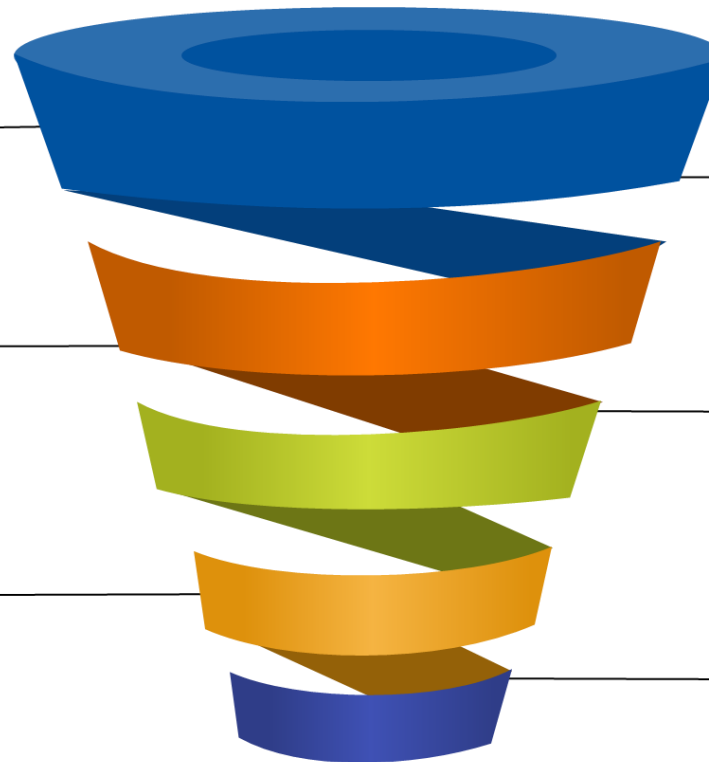
Customized major medical plan with access to a broad network of providers

Health Guardian Account

You get the care you need. We do the work to track and administer your Preferred Plus Benefits, Out-of-Pocket Expenses, and Healthcare Convenience Card

Chronic Disease and Acute Illness Management

Patented and proven program focusing on 28 chronic illnesses with a proven 11%-17% savings and a \$14:\$1 ROI



Preferred Plus Benefits*

Benefits payable at KIP preferred providers, offering real dollars to members who get the care they need, when they need it!*

Healthcare Convenience Card

0% interest, no-fee Convenience Card, giving members a simple and convenient way to pay for out-of-pocket expenses at Preferred Providers

Pharmacy Benefit Manager, Specialty Rx, and Obesity Management Program (GLP-1)

Truly transparent and innovative Rx programs that offer real savings and 1-on-1, personalized coaching for members. ~20%+ savings on Rx spend, 10% savings on overall claims spend

Weight Management (GLP-1s) that Don't Break the Bank

The GLP-1 medication market has experienced explosive growth, fundamentally reshaping healthcare spending across America. Prime Therapeutics reports that per-member-per-month spend has tripled by March 2025, with these breakthrough medications now representing approximately 15% of total pharmacy spend. More than 1 in 50 members filed a GLP-1 claim in Q1 2025 alone, demonstrating unprecedented demand for these life-changing treatments.

The Challenge

Traditional GLP-1 medications cost between \$1,089-\$1,349 monthly, creating unsustainable budget pressures for employers while limiting employee access to essential treatments.

Our Solution

Key Benefits secures generic GLP-1 medications for just \$249 per month, enabling comprehensive workforce health while maintaining strict budget control and financial stability.

The Impact

Deliver a healthier population, increased employee satisfaction, and sustainable costs that support long-term organizational success and employee wellbeing.

Proven Results: \$7M Annual Savings

One major city spending \$11 million annually on GLP-1 medications achieved \$7 million in cost savings through our comprehensive approach. This dramatic reduction demonstrates how strategic sourcing combined with clinical support creates sustainable, scalable solutions for large employers facing escalating pharmaceutical costs.

Beyond Medication: Comprehensive Care

Our program extends far beyond cost-effective medication access. Members receive specialized coaching twice monthly, focusing on maintaining muscular strength, engaging in moderate exercise, and developing sustainable lifestyle changes that support long-term weight maintenance after GLP-1 treatment completion.

270

Health Conditions

Created or exacerbated by obesity according to Cleveland Clinic research

\$8.5K

Additional Spend

Average annual healthcare costs above normal for obese individuals (KFF)

✔ **Transform Your Healthcare Strategy:** Join forward-thinking employers who are providing comprehensive weight management solutions while protecting their bottom line. Our approach combines clinical excellence with fiscal responsibility, creating a win-win for organizations and their valued employees.

DTE Covered Members Financial Analysis

Target Estimate of 45%+ Steerage and a Commercial Margin of 22.4%.

DTE Members	Pre-DTE Revenue	Pre-DTE Margin	DTE Revenue	DTE Incr. Revenue	DTE Total Margin	DTE Incr. Margin	Net Margin Less DTE Fees
100	\$ 264K	\$ 72K	\$ 596K	\$ 331K	\$ 162K	\$ 90K	\$ -239K
500	\$1,322K	\$ 360K	\$ 2,978K	\$1,656K	\$ 810K	\$ 450K	\$ 126K
1,000	\$ 2,645K	\$ 719K	\$ 5,956K	\$ 3,311K	\$1,620K	\$ 901K	\$ 583K
2,500	\$ 6,612K	\$1,799K	\$14,890K	\$ 8,278K	\$ 4,050K	\$ 2,252K	\$ 1,952K
10,000	\$26,449K	\$ 7,194K	\$ 59,560K	\$33,111K	\$16,200K	\$ 9,006K	\$ 8,796K
20,000	\$52,898K	\$14,388K	\$119,120K	\$66,222K	\$32,401K	\$18,012K	\$17,922K

- NOTE: Please see detailed financial analysis and assumptions used starting on page 28.
- Financial projections do not include 340B contribution margin, which could represent \$136 PMPM by optimizing 340B through Rx plan design, Baptist Health's approved site(s) with network integration, and development of Baptist Health's proprietary PBM program.

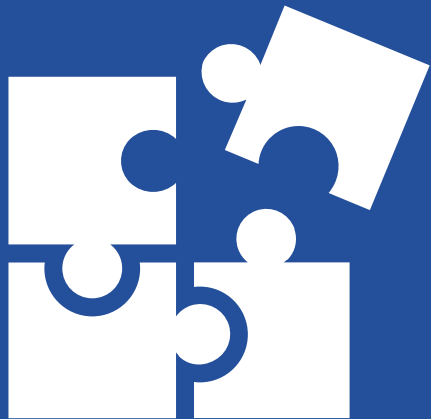
INTEGRATION WITH EPIC EHR SYSTEM

**KBA shares
evidence-based
standards of care for
27 chronic conditions
directly into Epic**



Hyperthyroidism: Yearly Clinical Evaluation, TSH and T4

THE MISSING PIECE TO VALUE- BASED CARE



- Patient engagement is the weak link in delivering value-based care; Baptist Health's clinical leadership and employer participation can drive better outcomes.
- KBA's proactive care-management team supplements your care-management efforts in outreach to clients.
- Baptist Health excels in Standards of Care completion rates for the Chronically Ill, improving care and costs.
- Integrating Baptist Health's managed care with KBA's programs positions Baptist Health as the value leader.

TRANSPARENT PBM INTEGRATION

- Support of Baptist Health's retail pharmacy(s)
- Optimize Baptist Health's 340B drug pricing program
- Allows Baptist Health to create its own PBM program if desired
- Custom telephone number with personalized scripting and separate call tracking & reporting
- Fully customizable member welcome booklet & materials
- White labeled formulary document and marketing materials

CUSTOM CLIENT SUPPORT:

- Specialized call center capabilities
- Fully customizable plan designs
- Operational access to the platform
- Customized process and functions to promote DTE strategy

CLINICAL FLEXIBILITY:

- Full portfolio of custom formulary offerings – with optimized formulary shield
- Clinical programs that drive towards overall DTE strategy
- Options for additional drug savings by driving members to lower cost alternatives
- Flexibility to customize or layer on utilization management programs

STOP-LOSS INSURANCE

THE KBA EXPERIENCE

- Deep relationships with 20+ stop loss underwriters and carriers
- Over \$150M in annual stop loss premium placement
- Comprehensive pricing and medical service analysis performed for each DTE health plan to ensure proper pricing
- KBA provides the administration required of the stop-loss markets:
 - Bordereau Reporting
 - Claim Reporting and Reconciliation
 - Evaluation of Networks
 - Care Management
 - Initial Underwriting
 - Negotiation of rates and terms
 - Plan Design Actuarial

Tokio Marine

Nationwide

Berkshire

Hathaway

Sun Life

Liberty Mutual

Granular (Google)

Companion Life

Crum & Forster

American Fidelity

RGA

DTE PROGRAM MARKETING & SALES

KBA WORKS WITH YOU TO MANAGE & SELL:

- Branding & Messaging
- Direct & Brokerage Sales Distribution – Focused Sales Representative
- Brochures, Web Site, Media, etc.
- Stop-Loss/Level Funded Down to 20 EE Lives
- Sell Through Established Brokers in Your Service Area

COMMUNITY BASED SALES STRATEGY



Locally based sales rep with strong community ties



Collaboration with DTE provider partners to identify strategic employers for early adoption and sales



Work with select broker distribution partners with aligned incentives and goals



Pipeline reporting and collaboration with our DTE provider partners



Marketing and promotion of the new option in the community

COMPLETE MARKETING SYSTEM

- Customized Branding and Messaging
- Customized Brochures
- Customized Web Site
- Targeted Employer Outreach
- Sales System (Social Media, Email, Text, etc.)



The Key Incentive Plan

Base Medical + Preferred Plus Benefits = Your Deductible Can Simply Vanish

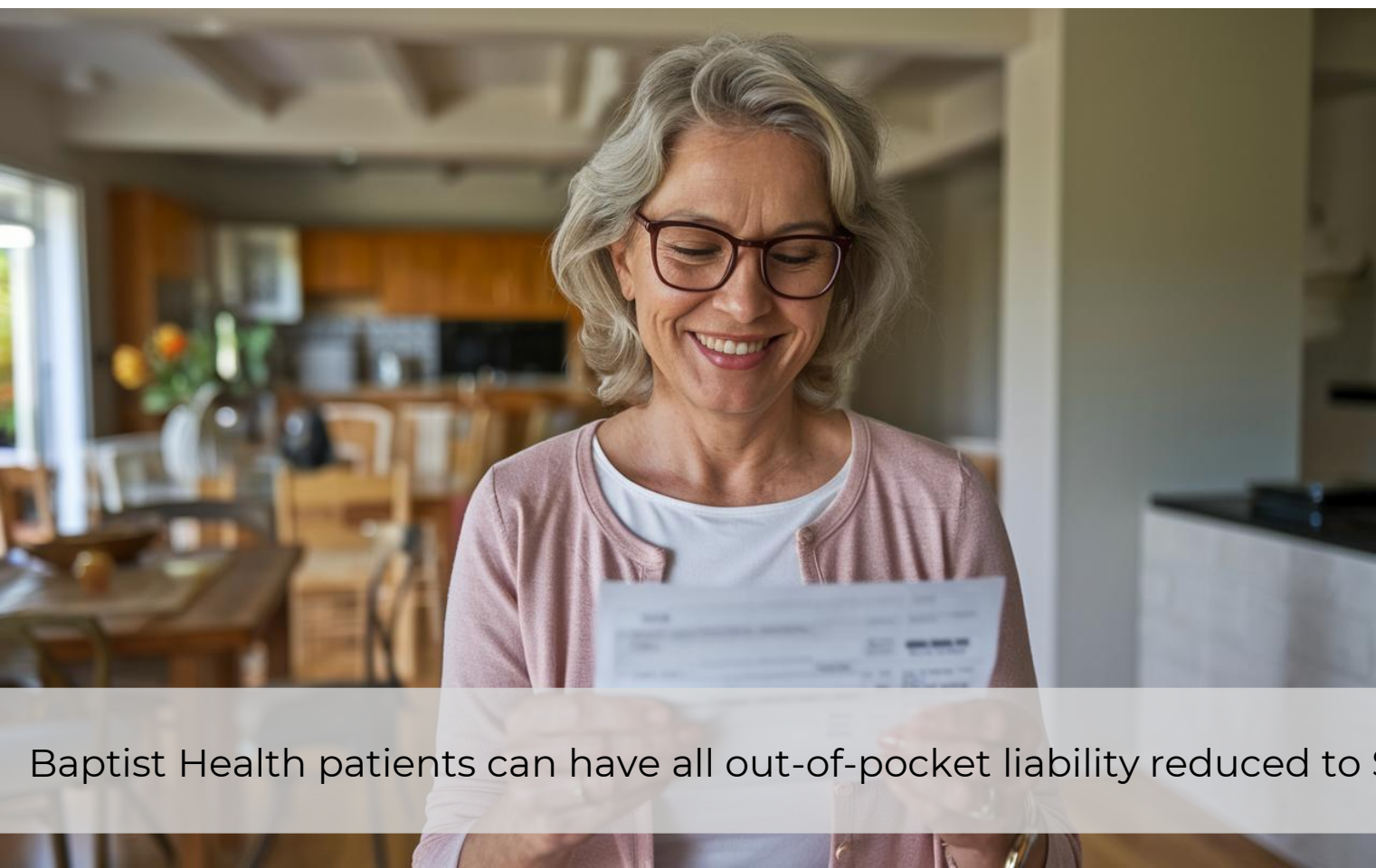
Example: Member with a \$2,500 deductible / \$4,500 max out-of-pocket has a heart attack and cardiac surgery, resulting in a 5-day in-patient stay. In this example, the member would have a \$4,500 OOP with \$5,050 Preferred Plus Benefits for a **net OOP \$0 due to the preferred provider versus \$4,500 OOP exposure at any non-preferred provider.**

BASE MEDICAL BENEFITS*		PREFERRED PLUS BENEFITS		
Deductible		Benefits automatically included in your plan!		
Single	\$2,500		Preferred Provider	Non-Preferred Provider
Family	\$4,500	OP Radiology/X-Ray	\$200	\$0
Coinsurance		OP Diagnostic Labs	\$100	\$0
80% / 20%		Preferred Hospital Stay (\$500/day, 5 days)	\$2,500	\$0
Maximum Out-of-Pocket		Critical Illness Benefit	\$2,000	\$0
Single	\$4,500	Health Screening Benefit	\$125	\$0
Family	\$9,000	Total Employee OOP	\$4,500	\$4,500
Chronic Disease Management Regimens of Care Covered at 100%		Preferred Plus Benefits	\$4,925	\$0
Healthcare Convenience Card to Cover Out-of-Pocket Expenses at 0% interest		Employee Amount Due to Provider	\$0	\$4,500
Health Guardian Account to help members manage their healthcare expenses at Preferred Providers		Additional Benefit Payable to the Health Guardian Account	\$425	\$0

*Base Medical Benefits are for illustration purposes only. Base benefits can be customized to meet client needs.

THE BENEFIT STEERING THE PATIENT TO BAPTIST

What Will this Claim Cost Me?



Baptist Health patients can have all out-of-pocket liability reduced to \$0!

KEY BENEFIT
ADMINISTRATORS

Explanation of Benefits	
Heart Attack, Cardiac Surgery	
THE CHARGES	
Medical Bills	\$25,000
Healthcare out-of-pocket due to provider	\$4,500
Since your out of pocket maximum has been met, the rest of your eligible charges this year will be paid at 100%	
THE CREDITS	
OP Radiology/X-Ray	\$200
OP Diagnostic Labs	\$100
Preferred Hospital Stay (\$500/day, 5 days)	\$2,500
Critical Illness Benefit	\$2,000
Health Screening Benefit	\$125
Benefit Total	\$4,925
Out of Pocket Paid to Hospital	(\$4,500)
Balance Paid to HGA	\$425

THE KBA HEALTHCARE CONVENIENCE CARD

Creating EPO Steerage in a PPO Network

The Healthcare Convenience Card is eligible to be used only for specific merchant codes.

1. To utilize at Specific Healthcare Providers
 - a. Designated Hospitals
 - b. Urgent Care Facilities
 - c. Physicians
 - d. Eligible Ancillary Providers
2. Out of Pocket Expenses Qualify
3. 0% Interest Rate
4. Employee Determines Repayment Schedules
5. To Qualify: Answer One Simple Question



The image is a composite. The upper portion shows a panoramic view of a city skyline, likely New York City, with the Empire State Building as a prominent feature, seen through a window with vertical frame lines. The lower portion shows a close-up of a desk with several sheets of paper containing financial charts and tables. A black pen, a white coffee cup on a saucer, and a calculator are also on the desk. A semi-transparent white banner is placed across the middle of the image, containing the title text.

FINANCIAL PROJECTIONS & ASSUMPTIONS

ESTIMATION OF BAPTIST HEALTH’S 2024 PAYER MIX

Payer Group	Total Inpatient Days	Revenue	Payer Mix
All Baptist Health	325,307	\$2,793,958K	100%
Medicare	85,328	\$388,949K	26%
Medicaid	8,170	\$0K	3%
Other Government Pay	0		
No-Pay, Charity Care	17,004	-\$152,535K	5%
Commercial/Self Pay	214,805	\$2,399,596K	67%

Values in blue are taken from the 2024 Medicare Provider Cost Report (<https://data.cms.gov/provider-compliance/cost-report/hospital-provider-cost-report/data>)

Values in yellow are taken from Definitive Healthcare data.

Total Medicare patient revenue is reported by CMS in the Medicare Provider Analysis and Review Report (MedPAR)

Estimating Payer Mix

- Medicare, Medicaid, and other government payer mixes are estimated as the percentage of inpatient days for each group divided by total inpatient days.
- No-pay and charity care is estimated as the percentage of no-pay/charity care compared to total overall revenue.
- Commercial/self pay is assumed to be the rest of the total payer mix share.

Estimating Total Inpatient Days

- Total inpatient days for ‘No Pay’ and ‘Commercial’ are estimated to be the payer mix estimates for “No Pay, Charity Care” and “Commercial/Self Pay” multiplied by the total number of inpatient days.

In other analysis, the outpatient payer mix is assumed to mirror the inpatient payer mix.

ESTIMATION OF MARGIN FOR COMMERCIAL VS. GOVERNMENT PAY

Estimating Commercial Margin

(Calculated through counterfactual of assuming all CMS/Government pay was paying at commercial rates)

Estimated Total Revenue if All Patients Have Commercial Insurance*	\$3,623,156K
Total Costs	\$2,402,767K
Net Income	\$1,220,389K
	34%

Calculated by dividing the current commercial revenue by the current commercial inpatient day payer mix.

Estimating Gov-Pay Margin

(Calculated through counterfactual of assuming all commercial pay was paying at Medicare rate)

Estimated Total Revenue if All Patients Have Gov-Pay Insurance*	\$1,155,749K
Total Costs	\$2,402,767K
Net Income	\$ -1,247,018K
	-108%

Calculated by dividing the current gov-pay revenue by the current gov-pay inpatient day payer mix.

ESTIMATING MARKET SHARE

Hospital Name	Number of Beds	Inpatient Total Charges	Outpatient Total Charges	Inpatient Percent of Market Total	Outpatient Percent of Market Total (Assuming 49.1% of Physicians Employed by Hospitals)
Baptist Medical Center Jacksonville (FKA BMC Downtown)	949	\$5,809,067.0K	\$6,118,772.2K	26%	15%
Baptist Medical Center Beaches	135	\$ 579,496.5K	\$ 641,913.5K	3%	2%
Baptist Medical Center Nassau	54	\$ 179,518.0K	\$ 343,616.0K	1%	1%
UF Health Jacksonville	462	\$2,510,444.3K	\$2,655,680.3K	11%	7%
Ascension St Vincents Riverside Hospital	297	\$1,369,093.4K	\$1,674,217.1K	6%	4%
Ed Fraser Memorial Hospital	21	\$ 17,337.7K	\$ 74,697.1K	<1%	<1%
Naval Hospital Jacksonville	56	\$ NAK	\$ NAK	NA%	NA%
Mayo Clinic Hospital - Florida	307	\$2,065,758.2K	\$1,899,884.2K	9%	5%
HCA Florida Memorial Hospital	360	\$3,970,615.0K	\$2,150,274.6K	18%	5%
HCA Florida Orange Park Hospital	316	\$3,636,532.0K	\$2,022,425.7K	16%	5%
Ascension St Vincents Southside Hospital	230	\$ 650,099.9K	\$ 926,517.2K	3%	2%
Ascension St Vincents Clay County Hospital	134	\$ 443,545.4K	\$ 545,952.5K	2%	1%
PAM Health Specialty Hospital of Jacksonville	107	\$ 77,452.4K	\$ 105.5K	<1%	<1%
Kindred Hospital North Florida	58	\$ 133,213.6K	\$ 377.9K	1%	<1%
Brooks Rehabilitation Hospital - University Campus	224	\$ 397,858.6K	\$ 159,063.0K	2%	<1%
Encompass Heath Rehabilitation Hospital of Jacksonville	50	\$ 34,605.8K	\$ NAK	<1%	NA%
Reunion Rehabilitation Hospital Jacksonville	40	\$ 32,709.7K	\$ NAK	<1%	NA%
North Florida Rehabilitation Hospital	50	\$ 12,164.7K	\$ NAK	<1%	NA%
UF Health North	168	\$ NAK	\$ NAK	NA%	NA%
Northeast Florida State Hospital	60	\$ 7,602.8K	\$ NAK	<1%	NA%
River Point Behavioral Health	84	\$ 45,371.6K	\$ 5,562.9K	<1%	<1%
Wekiva Springs Center	120	\$ 44,308.0K	\$ 10,026.5K	<1%	<1%
Southeast Georgia Health System - Camden Campus	40	\$ 38,967.8K	\$ 159,797.6K	<1%	<1%

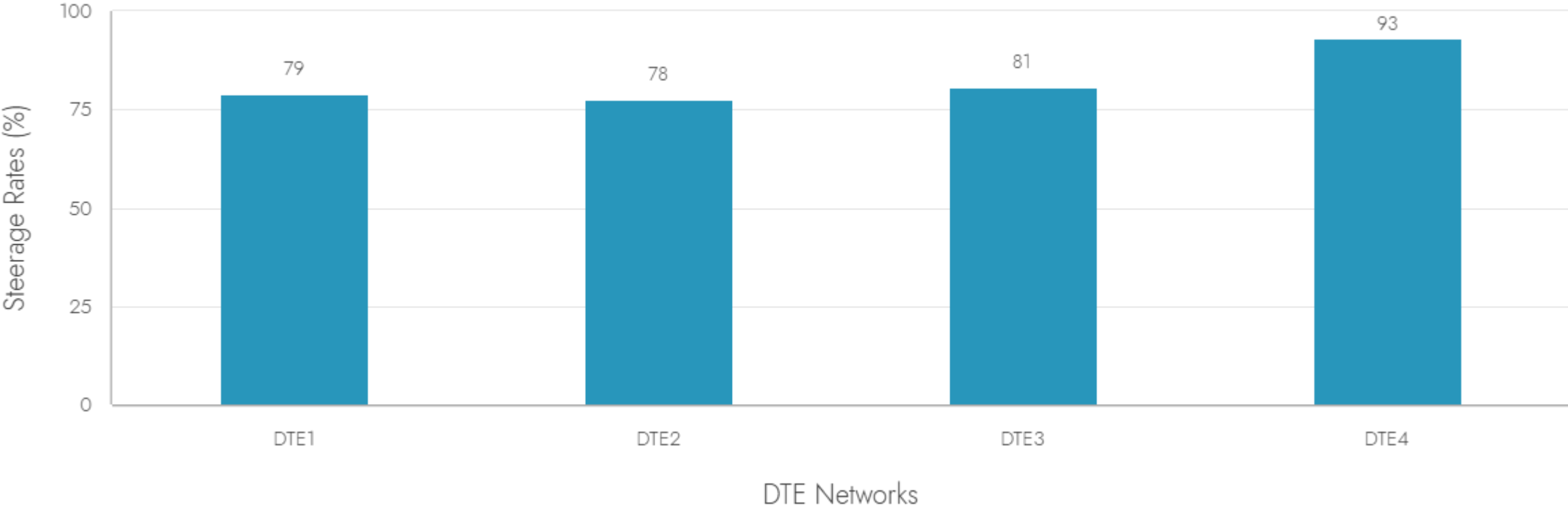
30%
Inpatient
Market
Share

18%
Outpatient
Market
Share

For outpatient market share, it is estimated that only 49.1% of local physicians are employed by area hospitals (Research from the Physician Advocacy Institute: <https://www.physiciansadvocacyinstitute.org/Portals/0/assets/docs/PAI-Research/PAI-Avalere%20Physician%20Employment%20Trends%20Study%202019-2023%20Final.pdf?ver=uGHF46uIGSeZgYXMKFyYvw%3d%3d>)

Hospital Metrics				
Metric	Baptist Medical Center Jacksonville (FKA BMC Downtown)	Baptist Medical Center Beaches	Baptist Medical Center Nassau	
Total Inpatient Patient Revenue	\$1,208,286K	\$100,832K	\$34,467K	
Total Outpatient Patient Revenue	\$1,272,705K	\$111,693K	\$65,974K	
Total Medicare Revenue	\$327,811K	\$41,525K	\$19,613K	
Estimated Medicaid and Other Government-Pay Revenue	\$0K	\$0K	\$0K	
Estimated Commercial Revenue	\$2,147,400K	\$171,232K	\$80,963K	
Total Uncompensated Care	\$130,623K	\$13,847K	\$8,065K	
Estimated Inpatient Costs	\$1,038,535K	\$86,577K	\$30,146K	
Estimated Outpatient Costs	\$1,093,903K	\$95,902K	\$57,703K	
Total Operating Expenses	\$2,132,438K	\$182,479K	\$87,849K	
Net Income	\$342,773K	\$30,278K	\$12,727K	
Estimated Payer Mix Percent Medicare	24.6%	33.0%	40.8%	
Estimated Payer Mix Percent Medicaid	2.7%	1.1%	1.9%	
Estimated Payer Mix Percent Other Government-Pay	0.0%	0.0%	0.0%	
Payer Mix Percent No Pay	5.0%	6.1%	7.4%	
Estimated Payer Mix Percent Commercial	67.7%	59.8%	49.8%	
Estimated Commercial Profit Margin	32.8%	36.3%	46.0%	
1. Most data is taken from the CMS provider cost report				
2. Medicare costs are taken from the Medicare Provider Analysis and Review (MedPAR)				
3. Data with 'Estimated' in the title are derived from other data points.				
4. Market Share estimates based on total patient revenues with area hospitals. Ambulatory market share based on regional estimates of the percentage of local physicians employed by area hospitals. See Physician Advocacy Institute				

STEERAGE RATES FOR CURRENT DTE NETWORKS



The average Tier 1 Steerage is 83%.

PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing Baptist Health for Inpatient Care	Percent of Members Choosing Baptist Health for Outpatient Care
1	1,100	2,000	55%	45%
2	2,200	4,000	55%	45%
3	3,600	6,500	60%	50%
4	5,400	9,700	62%	53%
5	7,700	13,900	62%	54%
6	10,500	18,900	62%	55%
7	13,900	25,000	63%	56%
8	17,800	32,000	63%	56%
9	22,300	40,100	63%	57%
10	27,100	48,800	64%	57%
11	32,100	57,800	64%	58%
12	37,000	66,600	64%	58%
13	41,500	74,700	65%	59%
14	45,500	81,900	65%	59%
15	49,000	88,200	65%	60%
16	51,800	93,200	65%	60%
17	54,000	97,200	66%	61%
18	55,700	100,300	66%	61%
19	57,000	102,600	66%	61%
20	58,000	104,400	66%	61%

KBA currently estimates that Baptist Health has 30% inpatient market share, and 18% outpatient market compared to hospitals/clinics in the Baptist Health service area (see slide 8).

Based on previous DTE experience, KBA expects a significant bump in patient steerage to Baptist Health.

Additional steerage will occur from additional steerage patient benefits and the patient convenience card.

High estimates start nearly 10% higher than target with low estimates at 10% lower than target

YEAR 4 PROJECTED REVENUE AND PROFIT

Pre-DTE Cohort of 9,700 Employees	Inpatient	Outpatient	Professional	Total
Revenue†	\$ 9,825,129	\$ 10,791,230	\$ 5,039,412	\$ 25,655,771
Net Income‡	\$ 2,672,435	\$ 2,935,214	\$ 1,370,720	\$ 6,978,370

With DTE	Inpatient	Outpatient	Professional	Total
Revenue°	\$ 20,329,329	\$ 31,730,248	\$ 14,817,756	\$ 66,877,333
Net Income*	\$ 5,529,577	\$ 8,630,627	\$ 4,030,430	\$ 18,190,635

† Assuming proportional revenues from market shares of 30% (inpatient) and 18% (outpatient)

‡ Conservatively assuming a commercial margin of 27.2% (80% of the estimated commercial margin)

° Assuming 62% inpatient and 53% market steerage based on KBA narrow network DTE experience (see previous slide)

* Conservatively assuming a commercial margin of 27.2%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member convenience card.

Total Increase in Net Income	\$ 11,212,265
Network Access Fee (Revenue) of \$1 PMPM	\$ 116,400
Total Profit Growth	\$ 11,328,665
Minus Implementation Fee (One-Time)	-\$ 0
Minus Sales and Marketing (Annual – Ongoing)	-\$ 180,000
Total	\$ 11,148,665

Target Estimate of 45%+ Steerage and a Commercial Margin of 22.4%				
All values in thousands of dollars. Modeled With Year 1 Fees and Patient Steerage.				
Metric	500 DTE Covered Lives	1000 DTE Covered Lives	5000 DTE Covered Lives	25000 DTE Covered Lives
Pre-DTE Group Inpatient Revenue	\$506.4	\$1,012.9	\$5,064.5	\$25,322.5
Pre-DTE Group Inpatient Margin	\$137.8	\$275.5	\$1,377.5	\$6,887.7
DTE Group Inpatient Revenue	\$935.7	\$1,871.4	\$9,356.8	\$46,784.1
DTE Group Inpatient Margin	\$254.5	\$509.0	\$2,545.1	\$12,725.3
DTE Group Incremental Inpatient Revenue	\$429.2	\$858.5	\$4,292.3	\$21,461.6
DTE Group Incremental Inpatient Margin	\$116.8	\$233.5	\$1,167.5	\$5,837.6
Pre-DTE Group Outpatient Revenue	\$556.2	\$1,112.5	\$5,562.5	\$27,812.4
Pre-DTE Group Outpatient Margin	\$151.3	\$302.6	\$1,513.0	\$7,565.0
DTE Group Outpatient Revenue	\$1,392.2	\$2,784.4	\$13,921.9	\$69,609.4
DTE Group Outpatient Margin	\$378.7	\$757.4	\$3,786.8	\$18,933.8
DTE Group Incremental Outpatient Revenue	\$835.9	\$1,671.9	\$8,359.4	\$41,797.0
DTE Group Incremental Outpatient Margin	\$227.4	\$454.8	\$2,273.8	\$11,368.8
Pre-DTE Group Professional Revenue	\$259.8	\$519.5	\$2,597.6	\$12,988.2
Pre-DTE Group Professional Margin	\$70.7	\$141.3	\$706.6	\$3,532.8
DTE Group Professional Revenue	\$650.1	\$1,300.3	\$6,501.4	\$32,507.0
DTE Group Professional Margin	\$176.8	\$353.7	\$1,768.4	\$8,841.9
DTE Group Incremental Professional Revenue	\$390.4	\$780.8	\$3,903.8	\$19,518.8
DTE Group Incremental Professional Margin	\$106.2	\$212.4	\$1,061.8	\$5,309.1
Net Margin Less DTE Fees	\$126.3	\$582.6	\$4,233.1	\$22,485.5

Target Estimate of 45%+ Steerage and a Commercial Margin of 22.4%				
All values in thousands of dollars. Modeled With Year 1 Fees and Patient Steerage.				
Metric	500 DTE Covered Lives	1000 DTE Covered Lives	5000 DTE Covered Lives	25000 DTE Covered Lives
Pre-DTE Group Total Revenue	\$1,322.5	\$2,644.9	\$13,224.6	\$66,123.1
Pre-DTE Group Total Margin	\$359.7	\$719.4	\$3,597.1	\$17,985.5
DTE Group Total Revenue	\$2,978.0	\$5,956.0	\$29,780.1	\$148,900.5
DTE Group Incremental Total Revenue	\$1,655.5	\$3,311.1	\$16,555.5	\$82,777.4
Incremental Total Revenue by Member	\$3.3	\$3.3	\$3.3	\$3.3
DTE Group Total Margin	\$810.0	\$1,620.0	\$8,100.2	\$40,500.9
DTE Group Incremental Total Margin	\$450.3	\$900.6	\$4,503.1	\$22,515.5
Wellness Share	\$6.0	\$12.0	\$60.0	\$300.0
Implementation Fee (One-Time)	\$150.0	\$150.0	\$150.0	\$150.0
Sales and Marketing Annual Fee	\$180.0	\$180.0	\$180.0	\$180.0
Net Margin Less DTE Fees	\$126.3	\$582.6	\$4,233.1	\$22,485.5

High Estimate of 55%+ Steerage and a Commercial Margin of 27.4%				
All values in thousands of dollars. Modeled With Year 1 Fees and Patient Steerage.				
Metric	500 DTE Covered Lives	1000 DTE Covered Lives	5000 DTE Covered Lives	25000 DTE Covered Lives
Pre-DTE Group Total Revenue	\$1,322.5	\$2,644.9	\$13,224.6	\$66,123.1
Pre-DTE Group Total Margin	\$359.7	\$719.4	\$3,597.1	\$17,985.5
DTE Group Total Revenue	\$3,600.9	\$7,201.8	\$36,008.8	\$180,044.1
DTE Group Incremental Total Revenue	\$2,278.4	\$4,556.8	\$22,784.2	\$113,920.9
DTE Group Total Margin	\$1,159.5	\$2,319.0	\$11,594.8	\$57,974.2
DTE Group Incremental Total Margin	\$799.8	\$1,599.5	\$7,997.7	\$39,988.7
Wellness Share	\$6.0	\$12.0	\$60.0	\$300.0
Implementation Fee (One-Time)	\$150.0	\$150.0	\$150.0	\$150.0
Sales and Marketing Annual Fee	\$180.0	\$180.0	\$180.0	\$180.0
Net Margin Less DTE Fees	\$475.8	\$1,281.5	\$7,727.7	\$39,958.7

Low Estimate of 35%+ Steerage and a Commercial Margin of 17.4%				
All values in thousands of dollars. Modeled With Year 1 Fees and Patient Steerage.				
Metric	500 DTE Covered Lives	1000 DTE Covered Lives	5000 DTE Covered Lives	25000 DTE Covered Lives
Pre-DTE Group Total Revenue	\$1,322.5	\$2,644.9	\$13,224.6	\$66,123.1
Pre-DTE Group Total Margin	\$359.7	\$719.4	\$3,597.1	\$17,985.5
DTE Group Total Revenue	\$2,351.7	\$4,703.4	\$23,516.8	\$117,583.9
DTE Group Incremental Total Revenue	\$1,029.2	\$2,058.4	\$10,292.2	\$51,460.8
DTE Group Total Margin	\$522.1	\$1,044.1	\$5,220.7	\$26,103.6
DTE Group Incremental Total Margin	\$162.4	\$324.7	\$1,623.6	\$8,118.1
Wellness Share	\$6.0	\$12.0	\$60.0	\$300.0
Implementation Fee (One-Time)	\$150.0	\$150.0	\$150.0	\$150.0
Sales and Marketing Annual Fee	\$180.0	\$180.0	\$180.0	\$180.0
Net Margin Less DTE Fees	\$-161.6	\$6.7	\$1,353.6	\$8,088.1

COLLABORATION OF STAKEHOLDERS



Key Benefit Administrators

- Full TPA Administration
- Stop-Loss Administration
- True Transparency & Analytics
- Population Health Management
- Utilization & Case Management
- Sales & Marketing
- Transparent PBM
- Website & Mobile App
- Customizable options & plans



Baptist Health's DTE

- Incremental Revenues and Margin
- Branding & Messaging
- Benefit Plan Integration
- Network Steerage
- Direct Relationship with Self-Funded Employers
- Referral Authorization
- Plan Transparency
- Direct Access to Members



Employer

- Reduced Spend
- "At The Table" with Baptist Health
- Improved Analytics
- Complete Transparency
- Lower Stop-Loss
- Benefit Plan Stabilization
- Healthier Population



Employee

- Reduced Out of Pocket
- Improved Health
- Better Coordination & Navigation of Care
- Direct Access to the Best Medical Providers

ROLES & RESPONSIBILITIES

SERVICES & ADMINISTRATIVE SYSTEMS PROVIDED BY:	
Baptist Health	KBA Operations
▪ Tier 1 Provider Network ▪ Provider Recruitment – If Necessary ▪ Network Pricing & Contract Terms ▪ Referral Management Protocols & Approvals ▪ Medical Director Oversight ▪ Practice Improvement Program using KBA/AHDI Data with Assistance from KBA	▪ Network Evaluation – Actuarial Pricing ▪ PPO Wrap & Tertiary Transplant Network, if needed ▪ Claims Administration ▪ Plan Design Development, Testing, and Administration ▪ Employer/Member/Provider Customer Service ▪ Customized Member/Provider/Agent/HR Portal ▪ Billing, Enrollment (Electronic/Paper), and Premium Management ▪ Fulfilment – SPD & Customized ID Cards ▪ COBRA/HIPAA Administration ▪ Out of Network Negotiations ▪ Wrap PPO Repricing ▪ Nurse Coaching for Chronically Ill ▪ Nurse Triage to Physicians and Facilities ▪ Stop-Loss Underwriting, Pricing, and Placement ▪ Stop Loss Claims Administration ▪ Complex Case Management ▪ PBM Administration Interface ▪ Reporting • Utilization & Gaps in Care • Clinically Based Physician Profiling • Referrals • Chronic Disease Management ▪ Employer Health Risk Management Reports ▪ Ancillary Administration – Dental, Vision, Weekly Income, 5500, Life, etc. ▪ Health Savings Account (HSA), Flexible Spending (FSA), Health Reimbursement Account (HRA) Administration ▪ Sales & Marketing Plan • Strategy Development: Branding, Brochures, Web Site • Distribution System Development • Sales Management
KBA Consulting	
▪ Program oversight and integration across the enterprise ▪ Goal development, agreement and tracking ▪ Start-up assessments: market, network, operational and readiness ▪ Draft business plan with financial projections ▪ Facilitate program communication and engagement with Baptist Health departments including system c-suite, operations, HR, managed care, marketing, strategy and business development	



PRE-IMPLEMENTATION

PROVIDER FILE

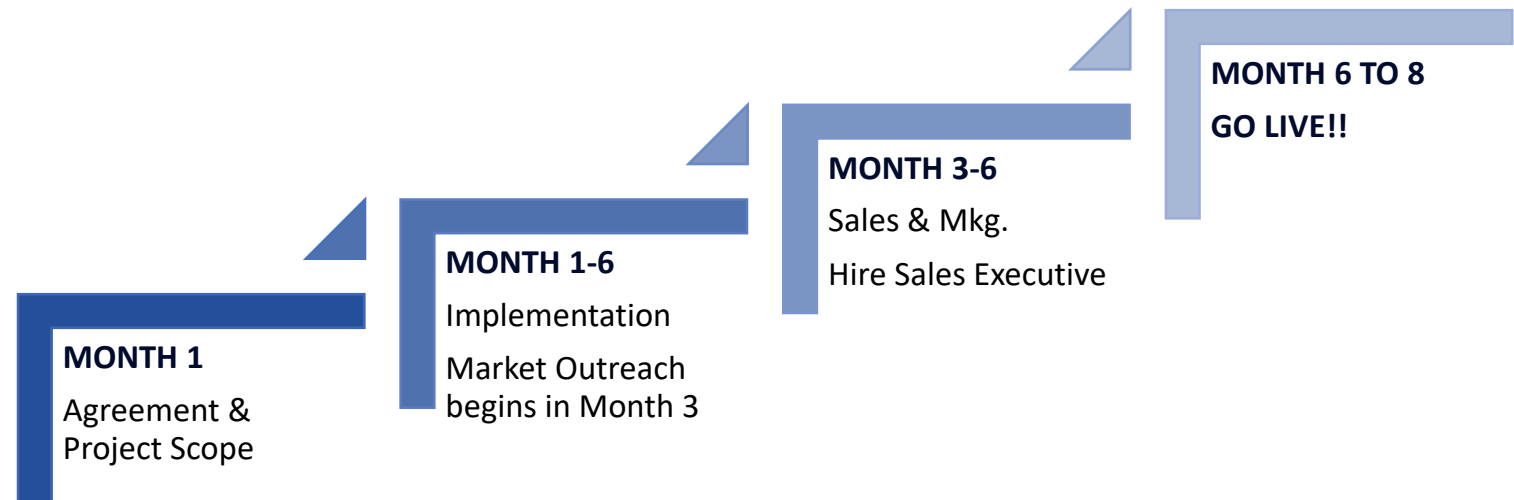
- Determine Gaps in Medical Service Delivery
- Identify Other Key Providers to Potentially Contract with on Behalf of Baptist Health
- Wrap Network to Cover All Other Provider Types

PRICING

- To Dial in Competitive Stop-Loss Rates and Baptist Health's Net Revenues/Margins
- Actuarial Evaluation Compared to the Market



IMPLEMENTATION



A PARTNER YOU CAN TRUST



**OUR OBJECTIVES
ARE ALIGNED**



**WE KNOW THE
MARKET**



**COMPLETELY
TRANSPARENT**



**WE HAVE THE
SOPHISTICATION
AND
INFRASTRUCTURE
TO EFFECTIVELY
COMPETE**



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